

May 2, 2024

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Sam Sam
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ENCAP INVESTMENTS L.P.

Dear EnCap Limited Partner:

It has been an active start to 2024 for EnCap with continued positive developments within our upstream platform. The following letter provides an update on distribution activity, Fund XII, and our increased GP commitment to the fund.

Distribution Activity

Coming off a record year in 2023, the upstream funds have continued their steady pace of distribution activity in 2024. We have distributed over \$875 million this year across Funds VIII – XI through a mixture of asset sales (63%) and recurring cash flow (37%). We expect a meaningful cash flow yield profile (~15-20%) to the funds throughout the remainder of the year driven by strong drilling economics and the overall asset quality of the portfolio. Additionally, we have several large assets currently in the market, which will result in significant liquidity in the second half of 2024 if market conditions remain favorable. We remain excited and optimistic about continuing the positive momentum that has resulted in \$16.4 billion of distributions since the beginning of 2021.

Fund XII Update

We have closed on ~\$2.5 billion of our \$4.0 billion target and continue to see strong interest from both existing and new investors. We are pleased with the overall progress made thus far and have quite a few LPs working through final diligence/committee processes. We expect the fund size to reach ~\$3.5 billion by late summer including many LPs working to upsize their original commitment to the fund.

Fund XII is off to a strong start and now includes commitments to eight portfolio companies representing ~\$2.0 billion of committed capital. The investment opportunity remains robust. We recently signed purchase and sale agreements on two high-quality acquisitions that are expected to close in the second quarter. Verdun III signed a PSA to acquire Eagle Ford properties from Repsol S.A., a Spanish multinational energy company, for \$225 million. In addition, Ridge Runner II agreed to acquire assets in the Delaware Basin for \$184 million from a private family seller. Inclusive of these transactions, we expect to have ~\$1.0 billion invested in Fund XII by mid-year.

The existing Fund XII portfolio is extremely well positioned and has already created value. As of 3/31/24, the fund is marked at a 1.6x gross / 1.5x net ROI. The value creation to date is attributable to the progress achieved by Double Eagle IV and Grayson Mill III. We highlighted both teams at our AGM last November, and they continue to execute their strategies and build value. Both companies are poised to begin generating significant dividends and have engaged advisors to test the market for a potential strategic sale in the second half of the year. Please see a summary of the current Fund XII portfolio on the following page.

EnCap Partners Commitment Increase to Fund XII

Based on Fund XII's progress and our conviction in the current opportunity set, we also want to highlight the EnCap Partner's recent decision to increase their commitment to Fund XII by \$32 million. With this increase, the EnCap Partner group has now committed \$52 million of capital over and above the initial 3% GP commitment. In aggregate, this capital represents the largest percentage commitment from EnCap to a fund in the Firm's history.

We greatly appreciate your continued support and, as always, please reach out to us with any questions or for an update call at any time.

Best regards,

Jason M. DeLorenzo
Managing Partner

Douglas E. Swanson, Jr.
Managing Partner

Fund XII Summary



Overview

- \$4.0 billion fund target
- ~\$2.5 billion closed to date
- First 2 investments are marked above cost as of 3/31/2024

Fund XII Commitments

Company	Repeat Team	Formation Date	Commitment (\$MM) ⁽¹⁾	Invested (\$MM) ⁽¹⁾	Value (\$MM) ⁽¹⁾	Strategy	Notes
DOUBLE EAGLE		Jun-23	\$350	\$274	\$475	Permian - Midland Lease & Develop	Premier Permian management team with \$10 Billion in asset sales from previous Double Eagle entities. Currently >50,000 net acres in the Midland Basin and running a 5-rig program.
GRAYSON MILL III	✓	Jun-23	\$400	\$207	\$346	Bakken Property Acquisition	Same Bakken management team that oversees successful Grayson Mill II (full return of equity investment within 14 months). Purchased current asset at ~2x cash flow and expect to initiate distributions in 2H 2024.
RIDGE RUNNER		Aug-23	\$146	\$24	\$24	Permian Lease & Develop	Highly regarded management team with extensive background and successful operations in the Delaware Basin. Signed PSA on Delaware asset acquisition in Q2; ~\$200 MM of acquisitions closed or in process.
BLACKSWAN II	✓	Oct-23	\$194	\$21	\$21	Evaluating Opportunities Property Acquisition	Repeat partnership with same Black Swan team from Northern Midland Basin sale in April 2023 (~\$500 MM invested -> \$1.7 Bn Value).
PALOMA VII	✓	Feb-24	\$190	\$10	\$10	Permian Evaluating Opportunities	8th partnership over >25 years with Paloma team that has a proven track record across multiple basins, strategies, and varying market conditions.
NOVO II	✓	Feb-24	\$285	\$3	\$3	Permian Evaluating Opportunities	Best-in-class Delaware operator that led to success of Novo I (full return of equity investment from cash flow distributions prior to successful asset sale).
PEGASUS III	✓	Mar-24	\$195	\$15	\$15	Oil & Gas Minerals / Royalties	New Permian mineral entity led by same management team from Pegasus II and EnCap Minerals (Oversee >145,000 NRA in the Permian).
VERDUN III	✓	Apr-24	\$285	\$27	\$27	Eagle Ford Property Acquisition	Same Eagle Ford management team that oversees successful Protégé, Verdun I and Verdun II. Signed PSA on \$225 MM Eagle Ford acquisition.
Total			\$2,046	\$580	\$920		

1. Commitment, investment and value amounts as of 3/31/2024 valuations rolled forward for cash activity through end of April.

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